JAY BEE LAMINATIONS LIMITED

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May 05, 2025

To,
The Listing Department
National Stock Exchange of India Limited,
Exchange Plaza, Plot no. C/1, G Block,
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051

Trading Symbol: **JAYBEE** ISIN: **INE0SMY01017**

Sub.: Submission of transcript of Post results / Earnings Conference call for H2 & FY 2024-25 pursuant to Reg 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

Pursuant to Reg 30 read with Para A of Part A of Schedule III SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcripts of the Post results / Earnings Call for H2 & FY 2024-25 held on Wednesday, April 30, 2025.

Further, please note that transcripts of Post results / Earnings Call for H2 & FY 2024-25 will also be available on website of the Company at https://jaybeelaminations.co.in/corporate-announcement.php

We request you to kindly take the above information on record.

Thanking you,

Yours faithfully
For **Jay Bee Laminations Limited**
(Formerly known as Jay Bee Laminations Private Limited)

ARTI CHAUHAN
Digitally signed by ARTI CHAUHAN
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Arti Chauhan
Company Secretary & Compliance Officer

JAY BEE LAMINATIONS LIMITED

H2 & FY25

POST EARNINGS CONFERENCE CALL

April 30, 2025

Management Team

Mr. Mudit Aggarwal, Managing Director
Mr. Subhash Raghav, Chief Financial Officer
Ms. Arti Chauhan, Company Secretary
Mr. Ashutosh Singh, Deputy General Manager, Finance

Call Coordinator

KAPTIFY®

Strategy & Investor Relations Consulting

Presentation

Vinay Pandit: Ladies and gentlemen, I welcome you all to the H2 & FY '25 Post Earnings Conference Call of Jay Bee Laminations Limited. Today on the call from the management team we have with us Mr. Mudit Aggarwal, Managing Director; Mr. Subhash Raghav, Chief Financial Officer; Ms. Arti Chauhan, Company Secretary; and Mr. Ashutosh Singh, Deputy General Manager, Finance.

As a disclaimer, I would like to inform all of you that this call may contain forward-looking statements, which may involve risk and uncertainties. Also, a reminder that this call is being recorded.

I would now request the management to detail us about the business and performance highlights for the half year ended 31st March, 2025, the growth plan and vision for the coming year, post which we will open the flow for Q&A.

Over to the management team.

Mudit Aggarwal: Good morning, everyone. My name is Mudit Aggarwal. I'm the Managing Director of Jay Bee Laminations Limited. I present to you the performance highlights of H2 FY '25. A little bit about us, we are a CRGO steel core manufacturer based in Noida. We have two units based in Noida and Greater Noida with a total installed capacity of about 18,000 metric tons. Our products include Cut Laminations, Slit Coils, and Assembled Cores, and we are approved by PGCIL up to 400 kV class.

We can move further. So, we have three manufacturing facilities now. Like I said, Unit I and Unit II are completely operational with a total capacity of 18,000 metric tons. We have recently conceived Unit III, which we are hopeful of starting in May with a smaller capacity of about 1,200 metric tons. Our products like I said include Cut Lamination, Slit Coils, and Assembled Cores. Slit coils are produced by the first process, which is slitting. Then we produce cut laminations by the process of cutting on automatic CNC lines. It is designed as per the customer's requirements and needs. Every order is tailor made. And then the final step is assembly, which results in assembled cores, which is a labour-intensive process.

Our customer presence includes, these many cities within India. Like it is visible. We have a pan India presence. We also have presence in the export market based in U.S., Saudi Arabia, Oman, Nepal, Bangladesh, and Ethiopia. Some of our customers include big names like, Skipper, Meiden T&D, Shilchar, Exide, Bharat Heavy Electricals, Crompton Greaves, Shirdi Sai Electricals, and

Indo Tech. All these customers are primarily supplying to end users like Adani Power, Tata Power then state utilities like KPTCL, PSPCL, and central utility like Power Grid.

We'll just go through the performance highlights of the last half year. As you might all remember, we were in the process of expansion in Unit II, which led to a capacity increase in October of '24, which we utilised from October to March, and we were able to generate bigger volumes in totality within the second half year. The total capacity reached 18,060 metric tons, out of which total production was about 12,400 metric tons, which was an increase of 32% year-on-year compared to financial year '24.

Like I said, volumes increased 32% year-on-year. Revenue has increased by 21% year-on-year. Gross margins have increased from compared to FY '24. However, H2 saw a decrease in gross margins considerably. That was primarily because of raw material price fluctuations that led to decrease correction of pricing in the market, which was also passed on to customers through the selling price, which led to decrease in gross margins.

Similarly, EBITDA margins were affected because of that as well as some expenses related to the future growth. Debt to equity has improved, mainly because of the increased equity base. We did a brownfield expansion of Unit II, which was timely completed in October 2024. We ramped up the facility for utilisation, and we achieved a utilisation of about 75% overall.

We also got PGCIL approval in March for the new facility, which we were eyeing to complete within the financial year. We also got another approval from REPDCL that was also based on some of the customers that supply to this end user. Additionally, we started Unit III, which was operational in four months in terms of trials, and we are expecting to start commercial operations very soon.

Yeah. I think we can stick to this slide. Our product mix remains pretty much steady with the cut laminations comprising of about 80%, assembled cores to the tune of 16%. We have tried to reduce slit coils and other smaller items, so that there is more of value addition in our business. Pan India sales are also pretty much stable similar to previous years.

What we are actively looking at now is FY '26. FY '25 has been a year of a lot of achievements as well as some setbacks with respect to margins. However, going forward, we have the full capacity available to us going in FY '26. Our monthly run rate has already been achieved compared to the targets that we are planning for FY

'26. We are planning FY '26 and FY '27 volume growth of another 30%, similar to FY '25.

Additionally, we are eyeing some more approvals, which include NTPC, Torrent Power, and going up another step in PGCIL up to 765 kV class. Up to 400 kV class, we already have some orders. We have already received orders for supply of core of transformers going to PGCIL that will be to the tune of ₹17 crores, and another ₹15 crores orders are under negotiation.

In terms of Unit III, we have come up with a small capacity. Further, we are also expanding in Unit II by some optimisation, and our total installed capacity will go up to 23,340 metric tons within FY '26. We have also set up a CRGO testing lab at Unit II, which is important for us as far as power transformer or PGCIL related customers are concerned. We will be reducing our dependency on third-party testing and with the way of NABL accreditation by the end of H1 FY '26. This will help us reducing reliance on third-party labs and reducing the lead times that was going for the order cycle, sales cycle.

Another new initiative that we're taking is in Unit III that is to move up the value chain by producing core coil assemblies and some special transformers for our export customers. So, we have been recently getting enquiries from export customers for core coil assemblies and transformers that we will be producing or starting in Unit III.

Thank you, everyone. I'm open to questions that you all might have.

Question-and-Answer Session

Moderator: All those who wish to ask a question may use the option of raise hand, and we'll invite you to ask the question. We'll take the first question from the line of Pritesh Chheda. Pritesh, you can go ahead, please.

Pritesh Chheda: My question is about margins. So can you specifically tell what went into play in the H2 margin, which is even lower than the lower end of your guidance? So whatever from your guidance, your guidance for a fairly larger range which you gave as great as in the month of March and the margin in H2 is even lower than the lower end of the guidance. So what went into margin number?

Second, now incrementally. Now since the company has a fairly large variations in margin. So what I see is a margin of 5% number before COVID, then a peak of 15%, first half of this year or just before the year.

Moderator: Yeah, Mudit. You can go ahead and answer the question.

Mudit Aggarwal: Okay. I thought the question was still incomplete. Okay. So, Priteshji, first, I would like to clarify that in March, there was a con call that happened, where I had guided on a long…

Pritesh Chheda: Hello?

Mudit Aggarwal: Yeah.

Pritesh Chheda: So did you hear my question?

Mudit Aggarwal: I heard your first question. Second question was incomplete.

Pritesh Chheda: The second question is, basically, your company margin, if I have to see just before the IPO is at about 15%, pre-COVID the [Technical Difficulty] [0:13:15] in the big range, and so maybe someone want to highlight some thoughts there.

Mudit Aggarwal: Yeah. So, let me first clarify that the margin guidance that I've always given is 12% to 13% on a long-term basis, which we have more or less achieved on a full-year basis. So we have seen in the past also such volatility in the raw material prices. However, this time, it was a slightly different kind of volatility, because it was based on some of the mills not getting licenses. So when these mills did not get licenses in say H1 of FY '25, people like us had to buy raw material in advance and we stocked up.

So we stocked up raw material, and plus, we were on a growing spree, because we knew that H2, we would have to increase sales. We would have to acquire new customers. So for that, we needed raw material. If we did not do that, at that time, it was a decision that we had to take. If we did not do that at that time, we would have been stuck with no raw material and no sales or say limited increase in sales, which is what we did. And that was also visible in the value of the raw material at the end of September, which was to the tune of ₹90 crores.

Now the raw material that all of that raw material has been consumed, which was higher priced. And why it was higher priced is because in December, all of a sudden, those mills were again introduced and licenses were given to them. So speculatively, the market became quite chaotic. and some of the customers even postponed their orders, and some customers started requesting for better prices because the raw material prices were lower.

And we had inventory, which was in the month of October, November, December at a higher price. So, it was a trade-off between sales and margins at that particular time because we were increasing sales. Now, we have almost consumed all of that raw material. Probably some of it is still going to be consumed in April, May, June. But eventually, we will again stabilise.

Going forward, if there is volatility, we will see some swings in the margins, but we believe that on a full year basis, we will still be able to achieve the previous guidance of 12% to 13%.

Moderator: Yeah, we will move to the next participant. We'll take the next question from Raman. Raman, please go ahead.

Raman: Yeah. Sir, I just want to know, what was the total sales this for FY '25, and what was the realisation per kg? That's the first part. And the second part, you said in the previous call on when we met in March that Unit III can have an additional capacity of 12,000 MTPA Unit III. With respect to Unit III I'm talking. So this, are we going to extend like, are we going to plan add 12,000 MTPA capacity for Unit III, or are we still in a phase where we will watch out for the demand and then take a call?

Mudit Aggarwal: So the total sales was ₹368 crores for the whole year?

Raman: No, no. I meant in terms of volume.

Mudit Aggarwal: Okay, in terms of volume, it was 12,400 metric tons. And the average realisation was it was ₹296 per kg.

Raman: Okay, sir.

Mudit Aggarwal: And sorry, could you repeat the second question?

Raman: So second question is with respect to your Unit III capacity. So when we met in March, you said Unit III can cater to 12,000 MTPA capacity. But you also said you are taking a cautious approach with respect to thatyou don't want to overdo the work and then see there is no demand.

Mudit Aggarwal: Right, right.

Raman: I understand what's the stance because my concern is mainly because there are two things. The transformer sector companies, like the people which make transformers, they have reported extraordinary numbers and given a good guidance like a high growth guidance. So from that point of view, there is a demand. I just want to understand whether or not there is actual demand in play for the transformers.

Mudit Aggarwal: Right, let me answer that question in two parts. So Unit III, first part, Unit III expansion that we guided or say confirmed was 2,000 metric tons. And then we said that, theoretically, it is possible to add another 10,000 or, say, 12,000 metric tons. So we're going up to 25,000 to 30,000 tons. That is theoretically possible. So in terms of Unit III, we eventually figured out that we sort of cut down on the actual capacity that we are going ahead with that Unit III, where we are going with 1,200 metric tons currently.

Second part to this is that we are also looking at demand. And since we are already being able to achieve about 80%, 85% on a monthly basis so we are currently at a run rate of about 1,300-1,350 metric tons, out of say a capacity of 1,500 tons on a monthly basis. So if we are already achieving that, we are also confident of the demand. Because of which, we have already placed orders for the new machinery, which will be placed in Unit II, which will take us to a capacity of about 23,000 tons.

And thereon, we might be able to expand, but currently, we just have to work up to the next two years taking up our quantities to at a growth rate of 30%. So for example, from 12,400, we will be eyeing about 16,000 tons, and the year thereon, we will be eyeing 20,000 tons. So for two years, we are set with these capacities. Now the second part is with respect to the Unit III, additional space that we have, where we are not utilising CRGO capacity. There we will be manufacturing core coil assemblies and transformers.

Transformers mainly for export customers because we have already been getting enquiries, and we are already in the process of signing an NDA with the customer abroad. So we are confident of that kind of business coming in from there. So with that, once we start white labelling transformers for export customers we have more opportunities to tap into new customers.

Raman: So, basically, you are saying the Unit III, you will utilise the majority of the portion to forward integrate and manufacture core coil assembly and transformers, right?

Mudit Aggarwal: Right Absolutely right.

Raman: So, can we expect any orders with respect to manufacturing of transformers in this year, or is it like a two years plan or a long-term plan?

Mudit Aggarwal: So the customer that we're talking to has given us a commitment of about ₹15 crores, ₹20 crores on an annual basis. So we are expecting say on a conservative basis, we are expecting orders of at least ₹3 crores, ₹4 crores in this financial year because the machineries have already I mean they're already being ordered and we are hoping to set it up within the next two, three months.

Raman: Okay, sir.

Mudit Aggarwal: So we will essentially get not more than seven, eight months of production from there. And plus, we will have to work up our way, with respect to other customers to create a goodwill, create a brand in the market as far as transformers are concerned. So it will take some time.

Moderator: Thank you, Raman.

Raman: Okay. Thank you so much.

Moderator: Yeah, thank you. May I request the participants to restrict their questions to two per participants? We'll move on to the next participant, Shane De Silva.

Shane De Silva: Yeah. Thank you for taking my question. So, Mudit, I had first a normal bookkeeping question. So I've seen that there has been a drastic increase in the fixed assets this year. So did we have some older assets which were replaced or like, what exactly has happened there? I would like to know about that. And secondly, on the other expenses, I wanted to know what the other expenses consist of?

Mudit Aggarwal: Right, so fixed assets, we have put in a total CapEx of about ₹19 crores, ₹20 crores which is the major part of the difference that you see in the books.

Shane De Silva: Okay.

Mudit Aggarwal: And the second question is, other expenses. So other expenses would include all kinds of administrative expenses, all kinds of consumables, all kinds of expenses not related to employees.

Shane De Silva: Okay. Fine. Yeah. And my second question was on the capacity utilisation. So, while you were planning for the Unit II expansion, the capacity util in Unit I and II were almost optimum levels. Now, the Unit II capacity having come in October, I think it's been around six months since then. And still, if I see for Unit II on a blended basis, the capacity util seems to be around 60%. So I wanted to understand, like, why has the ramp up in this not taken place and what will be the timeline for this to reach around 80% or 75% util?

Mudit Aggarwal: So I think, okay. So you're talking about H2, right? Yeah, so H2 initially, October, November, December, we faced some teething issues. We had to look out for new orders, which were in the 400 kV segment. All those kind of orders are not easy to come initially because, you don't have that kind of experience. But we still did our best and we executed 400 kV orders to the tune of about ₹15 crores, ₹20 crores. In January, February, March, we were able to expand and we had a run rate of about 1,300 metric tons on a monthly basis of the total capacity.

See, Unit I and Unit II are fungible capacities. So essentially, I have to look at it from the total utilisation perspective. So out of 1,500 tons, we are already at a level of 1,300 tons.

Shane De Silva: Okay. Understood. And one final question. So in your presentation, you've mentioned that we've added around 12 new clients in FY '25. So can you like, share details on who these clients are or what sizes of orders or anything that we've received from them?

Mudit Aggarwal: So we have, so the number is 12% of the total sales came from new clients.

Shane De Silva: Yeah, sorry.

Mudit Aggarwal: So essentially, we added new clients like Bharat Heavy Electricals Bhopal. So I'll just give you a small example. Till September last year, where we were present in mostly up to 220 kV class, we were doing business with Bharat Heavy Electricals Jhansi unit. But Bharat Heavy Electricals Bhopal does 400 and above. So after the new capacity was installed, we participated in tenders because we were not allowed before that to participate in the tenders. We participated in the tenders and we got orders from them.

So that was a big chunk. And then there were a couple of export customers also that got added. Then there was another company by the name of ECE. ECE has two units. One is in Sonipat, where we are already working. Then one is in Hyderabad. The Hyderabad unit was got added in H2. Besides that, there would be all small customers mostly in distribution segment.

Shane De Silva: Okay. And one final question.

Moderator: Thank you, Shane. May I request you to join the queue, please?

Shane De Silva: Okay. Sure.

Moderator: We'll take the next question from Surya. Surya, please go ahead.

Surya: Yeah. Hi, Mudit. I just wanted to know that in your previous calls, you mentioned that, you're actively targeting to sell higher grade products and higher kV products to increase your margin. So when can we see the conversion or reflecting of the same in your margins?

Mudit Aggarwal: So, like I said, we have already started non-PGCIL orders in the last half year. Going forward, we already have orders of PGCIL worth ₹17 crores and another ₹15 crores are lined up. After that, we will be searching for new customers. We are already in discussion with new customers. Some of the customers have already planned their internal audit of the plant, the facility, which is planned in May. Once those are through, we might be able to get business from there as well. So we are hopeful of, we will definitely start executing from those kind of orders starting May. But it is hard to pinpoint on the volume or the percentage of volume that might come from there.

Surya: Understood. The second question I have is regarding your forward integration plan. How you are going towards transformer manufacturing? Even many companies, transformer manufacturing companies are thinking of backward integration like TARIL has already acquired a company, CRGO Lamination Company. So what do you think is, what you say separating them to beat up your margins or even if your clients also end up doing some kind of backward integration, what kind of moat or advantage you would have over there?

Mudit Aggarwal: Are you asking this question, with respect to transformers or CRGO?

Surya: CRGO, I mean backward integration done by some of the transformer manufacturers. If they also start doing an in-house CRGO lamination, what kind of advantage you would be having over there?

Mudit Aggarwal: So, we have seen in the past that a lot of transformer manufacturers have tried or successfully done backward integration. For example, BHEL is already backward integrated, but still it buys a large chunk of cut laminations from the outside market. Then some of the players who did backward integrated, they discontinued the CRGO manufacturing operation because they were not able to deal with the inventory, the timelines and the inflexibility of selecting different grades based on their designs.

Then the third aspect comes where power transformer manufacturers have to in a power transformer, if say the core required is say of 100 tons, then there will be additional scrap or say, WIP generated to the tune of 25 to 30 tons. That cannot be used in a power transformer. That has to be used in distribution transformers. And we have a variety of customers where we are able to churn that inventory quickly, which is where we sort of got on a back foot in the last half year alsoour WIP had actually substantially increased, because we focused on power so much that all of that WIP that additional 25%, 30% of WIP started piling up, and we did not have enough distribution customers.

So it's a matter of optimisation that we want to do, and that is where our skill lies. So once that optimisation is complete, I think then we will be able to very gladly and healthily say that we have achieved the required growth.

Surya: Got it. Thank you so much.

Moderator: Thank you. I think Mr. Pritesh Chheda line is clear now. Mr. Pritesh Chheda, please go ahead with your question.

Pritesh Chheda: Yeah, hi. So, Mudit, I got your answer that incrementally you're saying about 12% to 13% operating margin, right? That answer I got. Is that correct?

Mudit Aggarwal: Right.

Pritesh Chheda: Okay. Now my question was, I still did not understand why were you at the lower end of the guidance in H2. When you are saying that you had high priced inventory, which was getting cleared, that you should have known in the month of March, right?

Mudit Aggarwal: Correct.

Pritesh Chheda: Then is it a situation where you did not communicated properly?

Mudit Aggarwal: No. I definitely communicated that in the month of March where I said that 10% to 15% would be the guidance, and there is a raw material fluctuation present in the market.

Pritesh Chheda: Was there any mark-to-market inventory on CRGO that you are carrying, in the H2 number?

Mudit Aggarwal: I'm not sure I understand that question.

Pritesh Chheda: So whatever inventory that you bought, did you consume the whole inventory during the half year?

Mudit Aggarwal: No. So which is what I said. There is some inventory left over from January also, which will be consumed within April and May.

Pritesh Chheda: So whatever raw material you had, did you have to have a markdown on that raw material numbers in the P&L, or there was no markdown on that raw material number?

Mudit Aggarwal: That was taken on cost basis.

Pritesh Chheda: Cost basis. Okay. And what was the fluctuation in the CRGO price, because what we understand the fluctuation in CRGO price was in the first half. There was hardly any fluctuation in the second half.

Mudit Aggarwal: So my average purchase price in say starting of the year was about ₹190 to ₹200 per kg. And it went up to about ₹255 say any October, November. Eventually, it started going down, and today, it is at around ₹230. ₹235. So there has been a big fluctuation.

Pritesh Chheda: Okay. And my last question is, now you are calling out a margin number of 12% to 13%. So that's the midway between 10% and 15%, lower than what you were pre-IPO, just a year before the IPO. I have one question. We see still going backward integrated on its 75,000 MVA of capacity, making their own laminations. All the industry players in laminations have doubled their capacity. Whether it's you who's tripled, Vilas Transcore is doubling, or there is Mangal, which is basically tripling. Are we entering a phase where margins actually go back to pre-COVID numbers, which were like 5%, 7% EBITDA margin in a very short span?

Mudit Aggarwal: I think, pre-COVID numbers were low or say margins were low primarily, because of the rigidity in supply chain of the entire transformer industry. I mean, at least I can say from my own experience of say 12, 13 years and we've seen different cycles, but the cycles have not affected those margins as much as the customer demand has affected it. So the customer demand was not there. So everybody was fighting in that particular zone.

Pritesh Chheda: Yeah. So it's a classic oversupply situation, which was…

Subhash Raghav: Yeah. Oversupply before COVID.

Pritesh Chheda: We are actually aren't we heading to an oversupply situation in the industry? (34:50)

Moderator: Thank you, Pritesh.

Pritesh Chheda: He has to answer.

Mudit Aggarwal: I just answered this question. So I mean, your guess is as good as mine. We can be going into an oversupply situation. I cannot say that for sure. On the risk of not being misquoted, I would just like to say that we are going on a stable basis. We want to cut that path, and we would eventually try to reduce the debt, because we know that, if there is a cyclicality in the business in that sense where the supply is greater than demand, the only thing that protects us is being stable and cautious in our approach. We have seen those cycles, and we will continue to do that.

Pritesh Chheda: Okay. Thank you very much. All the best.

Moderator: Thank you. We'll take the next question from Prolin Nandu. Please go ahead.

Prolin Nandu: Yeah. Hi. Vinay, thank you for giving me the opportunity. Yeah, Mudit. So, two questions from my end, right? The first is, as Pritesh also highlighted that all the laminates player, whomsoever you also had called out in the last call are expanding their capacity, right? And when I do my math, Mudit, top six players account for close to 60% to 65% of the capacity, right? Plus there is a capacity expansion or most of these players are doing, right? So when we think about our own capacity expansion, is there a story where, obviously, we want to participate incrementally or with a higher share in the transformer growth or the core industry growth. But is there also a story of some of these transformer players wanting to deal more and more with organised players like us or some of the top six players, right, or some of the two, three players that you called out in the last Analyst Meet.

And can you help us understand if this trend moving towards, let's say, top six players is very, very strong, what could be the yield differential from a transformer point of view for buying a CRGO laminate from a player like Jay Bee versus an unorganised player? Can you just give someone understanding about, to give us some comfort that with everybody expanding capacity, the risk that probably Pritesh has highlighted, will probably, may pan out or may not pan out. Just can you give us some understanding about this, Mudit?

Mudit Aggarwal: Sure. So, at least from my experience, we've seen that the industry has always been in a mostly unorganised state, and it has to be looked at through different segments. So distribution, power, specifically. Distribution segment will continue to have N number of CRGO manufacturers. The business is such that, it is very easy to enter and put up a capacity and start procuring raw material and start supplying to transformer manufacturers.

The key lies in consistency of supply and quality. So, basically, the customers who require consistent quality and are short of time, basically, the ones who are working on in volumes, we try to approach those customers, at least as far as distribution is concerned. With respect to power transformers, again, that segment the number of players are little. They are lesser than the distribution segment. They are about six, seven players, and that will continue to be there. It is not like the six, seven players are gonna go away. They might reduce or go up. As long as one of us is going bust that nobody knows when that will happen or to whom it will happen. But if that happens, only then the others can get a better market share.

Prolin Nandu: Understood. So you are saying that in power transformer, that moment, I mean, there would always be limited set of six, seven players to just to conclude, right? And that's where it's a more quality conscious kind of a market in some sense. Is that understanding correct?

Mudit Aggarwal: Yes. So, basically, there are some requirements with respect to the plantand so, for example, I just gave you the example of the lab. The PGCIL approval that we got is contingent on a condition that we have to get NABL accreditation for the lab in the next six months, which is why we have a deadline of September to get NABL accreditation, which is required for PGCIL 400 kV class certification to be kept in order. It's not like they will strip us off the certification. But then those things are the key facts that many of the other manufacturers or the ones who are in distribution would not like to go through.

Prolin Nandu: Understood, Mudit. That's clear. The second question is on, your comment again in the past call that you want to move towards higher KVA, right? Now, part of it is to get that PGCIL approval, which if I'm not wrong, you have got it for Unit III, right? Now how long and what was I mean, you mentioned the lab requirement as one of the requirement to get that approval. What are the some of the other requirements which are there to get the PGCIL approval? How long did it take you to get that PGCIL approval? And once you get the PGCIL approval, how long will it take for customers to start taking our product, testing our product, accepting our product right in some sense? So this journey of moving forward from a lower KVA towards higher KVA, what are the things you need to keep in mind to successfully make this journey?

Mudit Aggarwal: Right. So, we were approved in 220 kV class in Unit I, and now we got it for Unit II. That is the story, for 400 kV class, right? So Unit I is only up to 220 kV, and Unit II is 220 as well as 400 kV. That is one thing. Now we started this journey back in 2016. It took us almost 1.5 years to get ready for the kind of requirements that PGCIL wanted us. Those are mainly, based on infrastructural requirements as well as the history of suppliers to our customers.

So it took us almost 1.5 years to get the first approval. Then since 2017, when we got the approval for Unit I, we have been consistently supplying to customers for PGCIL orders. That created a history or say a reputation in PGCIL that Jay Bee Laminations can supply, PGCIL approved material to transformer manufacturers. The only thing that was limiting us in Unit I was space and the machine infrastructure. So when we did a brownfield of Unit II, we designed it in a such a way that we had to get PGCIL approval and move up to 400 kV class.

So the timeline of that was, six, seven, eight months of installing the new facility. And once that facility was installed, we got active with PGCIL. We approached them that look, we have supplied 400 kV jobs in non-PGCIL orders to certain customers, and we got the testimonials from the customers and all the documentation that was required with respect to the company, with respect to the infrastructure facility that was submitted to PGCIL and PGCIL then puts an inspector in charge for the audit. They audit the plant and put some further contingencies or conditions. Once we are able to fulfil that, we get the approval.

Our aim to get that approval was January, February, but it eventually turned out in March. So it took us, I think three or four months to get the PGCIL approval, because it takes better history.

Prolin Nandu: I understand. Just one follow-up question. Why are you not targeting the 760 KVA? Just let him answer that and that's I have. Thank you, Mudit.

Mudit Aggarwal: I'll just answer this. So 765 kV, again, the requirement of machinery infrastructure, and everything else is still the same. There is no change at all. The only thing different is the, again, history of supply. So once we are able to commit the history, the supply of these PGCIL orders in 400 kV class, then we will be able to apply for 765 kV, and then that will not be a very big challenge for us.

Prolin Nandu: Thanks, Mudit.

Mudit Aggarwal: Thank you.

Moderator: Thank you. We'll take the next question from Paras Chheda. Please go ahead.

Paras Chheda: Yeah. Thank you. Just wanted to understand, if we have already now started supplying 400 kV, and at some point, we'll have this 765 kV also, how much incremental margin can these produce over our traditional EBITDA margins that we are currently looking at 12% odd, because your 12% to 14%, does that also factor in the extra margin that these higher kV classes can produce?

Mudit Aggarwal: Yes. That the blended margin includes 400 kV class orders. Let me first, tell you that the 765 kV class, it definitely opens doors for us, but there is more demand in 400 kV class compared to 765 kV. 765 kV orders are very limited in the market. So 400 kV class was the main aim that we got. Secondly, the margins are generally I would say in terms of percentage, it would be about 2% to 3% higher on a general basis. But there could be difference in supply and demand gaps with respect to certain grades.

For example, a certain grade is not available and that particular grade has to be approved by PGCIL also. If somebody does not have that grade, we are able to command a premium. So based on that, the margins can go up to even 3%, 4%.

Paras Chheda: Okay. All right. And sir, I just also wanted to understand how confident are you of achieving this 30% volume. And I see this inventory and receivables have also gone up sharply. So could you explain that?

Mudit Aggarwal: So like I said, on a monthly run rate, we are already at 1,300 tons. So if you see 1,300 multiplied by 12, we are already at 15,600 tons, monthly run rate. Just a little more push, we will be past 1,350, which is probably the average that we need to achieve in order to get to that 30%, target. Sorry. What was the second question?

Paras Chheda: I mean the inventories and trade receivables have sharply increased.

Mudit Aggarwal: So inventory has actually come off. In September, like I said, we were carrying an inventory of three to four months to the tune of ₹90 crores, and it is reduced to ₹76 crores and we are further in the process of reducing it. See, we were in an uncharted territory with the new expansion and the new segments that we were targeting. We did not have the idea of or say the projection of which grades would be required in what quantities. We buy all grades, but there is a certain projection that we do based on past experience, past ordering cycles that the customers have.

But for the new customers or the new segments, we were a little in the uncharted territories. So we had to sort of stock up. And plus, moreover, there was a little bit of chaos in the raw material market also. So we actually stocked up, and now we are reducing it. And now we are going towards that optimum level of 60, 65 days. And if you look at it from both inventories and receivables from a perspective of monthly or, say a quarterly sale basis, we are pretty much in the 60, 70 days range. So for example, in the Q4, our total sale was about ₹113 crores, so ₹78 crores was the receivables. Yeah, so that translates to about 70 days.

Paras Chheda: Okay. So the inventories will get optimised this year is what you are saying?

Mudit Aggarwal: Correct. Inventories will get optimised. Receivables will not reduce, primarily because, that is the kind of cycle that we have to do.

Paras Chheda: Because the volumes will also go up now. So in that way, absolute basis will not reduce.

Mudit Aggarwal: And then one more thing I want to point out here is that receivables are some of them, some of the receivables to the tune of about ₹30 crores are protected by the use of a letter of credit. So we use an LC discounting facility where those receivables are already protected. And the other receivables, we are protecting through the process of credit insurance.

Paras Chheda: Right. And like someone asked you and I just wanted to reassess that the fixed assets has disproportionately gone up. Now what was the primary factor for that? There's ₹5 crores going up to ₹24 crores.

Mudit Aggarwal: Yeah. So Unit II, we expanded and we did a total CapEx of about ₹17 crores in the planned machine deal building. And in Unit III, we did a CapEx of about ₹3 crores.

Paras Chheda: Okay. Understood.

Mudit Aggarwal: So essentially, all of that was for the new expansion that we did in Unit II and Unit III.

Paras Chheda: Given that the inventories are pending, raw material inventories to be consumed in April, May, you're still confident of a 12%, 14% margin for the next year? I mean FY '26?

Mudit Aggarwal: On a yearly basis, yes. And previously, also I guided on a long-term basis, which is mostly yearly basis. If you see our EBITDA margins, it has been constantly increasing. On a half year basis, you might see a decrease. But we knew that, if you're able to do a 15% margin, so we had some scope of making those, taking those risks where we could experiment and go for higher sales, aggressive sales, which is why we were able to get PGCIL approval in the first place.

If we did not go for those aggressive sales where the margins were lower or, say, the pricing set by us not attractive to the customers, we would have not gotten PGCIL approval within the targeted timeline of March.

Moderator: Thank you, Paras. May I request you to rejoin the queue, please? We'll take the next question from Kaya Nirani. Please go ahead.

Kaya Nirani: Okay, great. So, Mudit, going from FY '26 up to FY '27, FY '28 now that beyond this expansion phase and other industry players are also expanding, can you just guide if we can reach the capacity of around 30,000 by FY '27-'28? And if we do, what would be like the base case utilisation levels and the risks to not meet that utilisation level?

Mudit Aggarwal: Well, since day one, we have always maintained that we will go for capacity expansion in a phased manner. We will not go for a sudden chunk of expansion. What we want to do is we want to expand, say, about 50% or 40% addition of capacity, then probably hold on for a few months, optimise that and then go for another round of expansion.

Had we not been confident of achieving the run rate that we are at, we would have not gone for buying new machines that is going to take us to say 23,000 tons. But once that is through, and we are confidently able to view or say, have that vision that FY '27, we are achieving 20,000 tons, it is very difficult to say that we will go for a further capacity expansion as of now, which is why because that risk of oversupply and demand, a difference in demand, definitely stays there.

Nobody knows that even that kind of risk is also valid for transformer manufacturers for all that we know. Because transformer manufacturers are also expanding capacities. Some of them are doing 3X, 4X capacities. So eventually, transformer industries might also see that kind of a slump. But what we want to do is we want to focus or diversify into export customers.

Now we are exploring those kind of customers, that what is the exact demand and where we can fit in with those customers, where we can add value to those customers. We already started off by adding value to those customers with assembled cores. The second step is, core coil assemblies, where the customers are already placing enquiries with us, but we don't have that, facility as of yet.

The third is transformers. Like I said, we already are in discussion with the customer abroad for a certain fixed stable business of transformers. Those are small transformers, completely different from the segment that we supply cores in, but the core still goes in that. So we are confident of making those transformers. And maybe if we have a portfolio of these kind of products, we'll be able to sail through any risks and problems that we might face in the future.

Kaya Nirani: Okay, fair. So but the baseline would be, like around 30,000 metric tons by FY '27 with the 80% because you're maintaining like a 80% utilisation rate if all goes well in the market?

Mudit Aggarwal: I mean, once we start core coil assemblies and transformers in Unit III, we won't have the space to do 30,000 tons. We won't have the space to additionally install, 6,000, 7,000 tons. So we would have to look for a completely new greenfield project.

Kaya Nirani: That's all for my side. Thank you.

Moderator: Thank you, Kaya. I'll request Mr. Somil Shah. Please go ahead.

Somil Shah: Yeah. Hi, as we are guiding for a 30% volume growth, so can we assume our revenue growth could be higher than the 30% mark, 35% to 40%?

Mudit Aggarwal: Somilji, it's very difficult to say because the price, it all depends on the pricing, average selling price, which is why we don't want to give any guidance for the revenue. The thing that is under our control would be more like volumes.

Somil Shah: Okay. So as you said, the prices were higher in the previous quarter. So what are the current prices going on?

Mudit Aggarwal: So the average price, I think was around ₹310 in the last financial year. And currently, it is at around average of ₹295.

Somil Shah: Okay. And as we are starting this 400 kV class I mean, as you said, the ₹17 crore orders in April, I think we got orders for ₹17 crores. And in May also, we are expecting ₹15 crores. So on a yearly basis, what are we targeting for the 400 kV?

Mudit Aggarwal: On a yearly basis?

Somil Shah: Yes. Because that is a higher margin business.

Mudit Aggarwal: Correct. With all the capacities installed, we would ideally want to do about, we would ideally want to target about ₹15 crores of business every month.

Somil Shah: That is ₹180 crores. For FY '26?

Mudit Aggarwal: No, for FY '26, we would be targeting about ₹100 crores. Because the new capacity that we are installing in Unit II, that will not be active. So with the current capacity, we would be targeting about ₹9 crores to ₹10 crores on a monthly basis.

Somil Shah: On a monthly average. Okay. And the EBITDA margin, what we guided for FY '26 is 12% to 14%. Did I heard it correctly?

Mudit Aggarwal: 12% to 13%.

Somil Shah: 12% to 13% for FY '26. Okay, okay. That's it from my side. Thank you, and all the best.

Moderator: Thank you, Somil. We'll take the next question from Kiran. Kiran, please go ahead. We'll move on to Mr. Pranjal Mukhija, please go ahead.

Pranjal Mukhija: Hi, Mudit. Thank you for giving me this opportunity. So, I have a couple of questions. So currently, we derive around 80% of our revenues from cut laminations and 15% from like assembled cores. And, I see from our investor that we're well attending to sort of move much more into assembled cores and like forward integrate from laminations. So like, I just wanted to understand like what are the margins that we make in assembled cores, that's the first question.

Secondly, I wanted to understand, given whatever understanding I have of transformers, I think assembled core is one of the most critical elements of a transformer, right? I mean, that is the core. So I wanted to understand, like, why would a transformer company like outsource this main element of manufacturing a transformer to someone else? Like, I wanted to understand. That was my first question, sir.

Mudit Aggarwal: So, cut lamination and assembled cores are pretty much the same thing. The only difference is that it is the next step of process in a transformer core manufacturing process. So cut lamination's one stack and clamped together,they make the assembled core, right? So once that assembled core is formed, electrical parameters of that core can be checked that are actually important for transformer.

So transformer manufacturers, what they do, some of them manufacture their core or, say assembled core in house, and some of them actually outsource and say that, okay, you guarantee me everything with respect to the assembled core and then supply the assemble core to me. So it depends on the demand that, the customers might have. When I said that assembled cores will command us premium is because of export market.

Because in the export market, the assumption is that, they don't have enough labour and it is a labour-intensive process. And if they don't have enough labour, they would want the cores in the form of assembled cores. Why the transformer manufacturers outsource such a critical process or critical component is because like I said, many have tried backward integrating, but CRGO has many grades. The inventory is in very a lot of different forms. It has, big coils. It has small coils. It has laminations. It has sheets. It has a lot of different things into it with respect to the inventory.

So the inventory management and the grades that you have, the grades that you carry in raw material actually matter quite a lot, which is where some of the transformer manufacturers would ideally say, I don't want this headache. You take this headache, and you manufacture this for meand which is why to when we go to the power segment, the criticality increases so much that the customer has stickiness for certain suppliers of CRGO cores.

Pranjal Mukhija: Okay. So and the second question I wanted to understand, given that we're forward integrating and we're also like looking to manufacture some special type of transformers. So just wanted to understand, like what kind of transformers are these and generally, like, you said you have some sort of intake from a customer, like some enquiries there and like from where is this sponsor? Which country?

Mudit Aggarwal: I would not be at the liberty of disclosing that right now. Probably, give me a couple of months to get this in order. The kind of transformers that these are, these are small transformers, again, distribution transformers, but with a slightly different application. They go into household application, industrial applications, but not installed in the fields. So they might have applications in specific industries.

Pranjal Mukhija: And then this is margin affiliative for us?

Mudit Aggarwal: Absolutely. Yes. It is at a better margin, but the volumes might not be scalable to the nth degree.

Pranjal Mukhija: Thank you. That was my question.

Moderator: Thank you, Pranjal. We'll take the next question from Dipanshu Suman. Please go ahead.

Dipanshu Suman: I wanted to understand the pricing over here. So you mentioned that the current price for your end product is about 295 per kg, which for the last year was 310 kg. And in the same way for your raw material, you mentioned that the prices were ₹200 kg went to ₹250 kg to back to ₹235 kg. So are we losing on say per kg basis over here compared to say whatever price movement has happened? Are we taking some hit offset ₹10 to ₹15 per kg?

Mudit Aggarwal: Yes. Correct. That would be correct. Which is what happened in Jan, Feb, March.

Dipanshu Suman: So then how like, over the long-term, if you say like with the capacity also expanding you and all these guys and the forward guys, and they are doing so much of volume growth, why are we not able to pass on the entire pricing?

Mudit Aggarwal: Because the movement, or say the volatility in the raw material prices came all of a sudden. And our bookings were already in place with the suppliers. Some of them were import bookings, which had material coming in pipeline, and some of it was already contracted with the suppliers. So we could not, you know, go back to the supplier and say we want to cancel this order and negotiate on a new price, which is why the pricing was not we were not able to pass it on.

We generally are able to pass on the pricing, if the volatility in the pricing or say movements of up and down are to the tune of more than two to three months or say even more than three months actually. Because we are carrying inventory of at least two months, right? And in this particular case, we were carrying inventory of three to four months, which is what actually hit us back.

Dipanshu Suman: But then why are we not pricing right now in a better way? Because see as these prices has come down from ₹250 to maybe ₹235. We have also decreased our prices. We could have held on to other prices for a few of the months.

Mudit Aggarwal: Yeah. So what happens in that case is that every supplier in the market…

Dipanshu Suman: So what I'm trying to understand is that is the industry working in a way that they are ready to lose on to some amount of margin, but want to be on the volume side?

Mudit Aggarwal: No. It's mostly because everybody wants to get rid of the higher cost inventory.

Dipanshu Suman: Understood.

Mudit Aggarwal: Right. Because, we don't know if the prices will go up again, right? Nobody knows that. There is volatility in the market. If the prices go down, it's anybody's guess that the prices will go back or not. So any good manufacturer or say a person who wants to do regular business with their clients would not miss out on the opportunity of losing a client. So if I say it's, let's say if I stick on to my margin and say this is my price, I will not burst down on it. And if I'm not able to sustain that with my existing customers, then I lose on the customer and then the customer acquisition cost also comes in.

Dipanshu Suman: Understood. Second point, what I wanted to understand is that, your monthly capacity is about 1,500 tons per month. You are at 1,300 tons per month. Right now, you are doing about 1,300 tons per month. So why are we not aiming for say like, the year has just started. It's just April. So why are we not thinking that we would be able to do 1,500 tons? And if the capacity comes as in FY '26 and the capacity is coming, can't we exceed 1,500 ton per month target?

Mudit Aggarwal: So we'll be sitting at about 1,900 tons capacity, probably by October, November, right? Till that time, we are still stuck at 1,500 tons.

Dipanshu Suman: So in this 1,500 tons, can you manufacture only 85% to 90%, or you can go to entire 1,500 tons?

Mudit Aggarwal: We can go up to 94%, 95% depending on the size, there can be a lot of variation. So, ideally, the capacity utilisation is between 80% to 90%. If we go above 90%, that is sort of like an exceptional situation. So for example, if I have a certain machine, but I have a bigger transformer rating order, that would go down well for my capacity utilisation. But if I have the same machine and a smaller transformer core order comes, then the capacity utilisation goes down automatically, even though I have the same tonnage of orders.

Dipanshu Suman: Understood. Third point, what I wanted to understand is that…

Moderator: Dipanshu, may I request you to rejoin the queue, please? There are a lot of participants waiting. Thank you. We'll take the next question from Suruchi Parmar. Please go ahead.

Suruchi Parmar: Yeah. Hi, Mudit. I just wanted to know about the addressable market increase after you got the PGCIL approval of 400 kV class?

Mudit Aggarwal: So, again, it's a guess, but I think it would be to the tune of it, round about 70,000 to 80,000 tons.

Suruchi Parmar: Okay. And this the volume growth of 32%, I know you have already answered this question, but just wanted to know about your plan that the sales has increased just by 21%. So is there pressure on realisation? And will it further continue after considering all the competition use?

Mudit Aggarwal: Yeah. So realisation were down in H1. If you look at our H1 presentation, the volumes had actually increased, but the total sale was still the same compared to H2 of FY '24 or say H1 of '24. In H2, the prices increased, and the average utilisation increased back to the FY '24 levels. But then on a complete year basis, the average price sort of declined a bit.

Suruchi Parmar: So this will further continue considering the competition you're seeing?

Mudit Aggarwal: I really can't comment on that. There is still volatility in the market, Like I said, that the mills that we were talking about, their licenses expire very soon, and we still don't know whether they will be renewed by BIS or not. So we are still in a position where we don't know whether these mills will come back or they will vanish away. So based on that realisations might go up or go down. However, with respect to our own margins, we will try to protect them by a better management of inventory now that we know what kind of orders are expected in the higher segments.

Suruchi Parmar: Just last one. What is like EBITDA per ton was in half year, was 41,000. So can you tell me the number for H2 EBITDA per ton?

Mudit Aggarwal: I think it was around 30,000.

Suruchi Parmar: Thank you so much.

Moderator: Thank you. We'll take the next question from Srusti Goyal. Please go ahead.

Srusti Goyal: So I have couple of questions. So as you have mentioned that, we are still not sure whether the BIS license will be renewed. So do we expect any increase in inventory or are we planning to stock up the inventory in case the BIS license does not get renewed?

Mudit Aggarwal: So we have sufficient inventory as of now for the next three months. We already have bookings and pipelines fixed. After that, we will again have to rely on the existing suppliers who are say not under the purview of getting or expiring BIS licenses. So we have good relations with them. Last year also, we were able to secure good quantities from the existing suppliers. So I think supply should not be a challenge. The only thing is when to buy, when to procure, and in what pricing level to procure.

Srusti Goyal: Okay. So my next question will be relating to our transformer segment that we are planning to venture out. So I just wanted to know that whether transformer sector coming, do we plan to increase our inventory days, and do we plan to stock up more CRGO for internal consumption?

Mudit Aggarwal: Won't be required, because the CRGO segment will still be a bigger segment. At least for the next, one to two years, it will still be a much bigger segment, compared to transformers.

Srusti Goyal: So how much transformer manufacturing revenue are we expecting in coming years?

Mudit Aggarwal: For this year, we are not expecting much. Depends on when we start, and probably, we will get not more than six, seven months of production and depends on the availability of orders. By next year, we will definitely try to move up and aim for a number of at least ₹40 crores, ₹50 crores.

Srusti Goyal: Okay. And as you have said that in, it's a follow-up question to the previous question asked that in H2, the prices recovered, as compared to H1. So why was the price movement in H1 as compared to H2. Because I guess in H1, we saw the BIS license non-renewables and the raw material price is shooting up.

Mudit Aggarwal: Correct.

Srusti Goyal: So the pricing pressure was not on the H1, but on the H2.

Mudit Aggarwal: Yeah, so H2, what happened was when the prices had increased and we purchased a lot of raw material because we needed to get our expansion, plan secured with orders and supply. By December, these licenses were renewed and suddenly we had a pressure of selling. So then it starts so for example, December was somewhere around ₹320. And then, eventually it started coming off to say a level of ₹290, ₹295.

Srusti Goyal: This is the raw material pricing?

Mudit Aggarwal: No. This is the selling price. And with respect to raw material, it was say about ₹250, which has now come down to ₹230, ₹235.

Srusti Goyal: So you are saying the selling price come down from ₹320 to ₹219?

Mudit Aggarwal: ₹290.

Srusti Goyal: Okay, done. Thank you so much.

Moderator: Thanks, Shrusti. We'll take the next question from Yashvardhan Singh. Please go ahead.

Yashvardhan Singh: So, sir, given the cyclicity of CRGO prices, what are the margin band that you are looking internally for FY '26 at a consolidated level, I mean, H1 and H2 for the whole year?

Mudit Aggarwal: On an EBITDA level, we will be able to achieve 12% to 13%. That is the target.

Yashvardhan Singh: Okay. And given that, we also had con call in March, so that time also we gave very like a very bigger range for the margins that was 10% to 14%. So do you think that, this should have been avoided and given the conservative guidance, going forward because this is how for us, like who are minority shareholders of the company, this is, like very sad to see margins going all over the place and people expecting 14%, 15% margins. And then, next day suddenly, there is so much bad words about the company, like margin has collapsed and all these things.

So just a feedback for going forward. And another question which I want to ask is, how do you see long-term arrangements with your suppliers right now? Is it a fixed price contract or a like how do you source the material? And what was the inventory levels that we have consumed as of now from H1. I believe you guided ₹90 crores for H1 inventory and how much we have consumed and how much is currently left. And given the monthly volume that you are in, I think 1,300 is what we are right now from April. So how much will be consumed this H1? Because that might again impact the H1 EBITDA margins?

Mudit Aggarwal: Yeah. So, we have inventory, which is high priced, which will be probably finished by April, May and probably just the beginning of June. That is the kind of inventory, old inventory that we have, which was say on the basis of timeline of December, Jan, Feb. The suppliers that we have, we already have all the suppliers working with us or say, we working with the suppliers. Our ordering with the suppliers are either on a three monthly basis or on a monthly basis, depending on the supplier's interest. Mostly they're on a one to three months basis.

Then we are also buying on spot basis. So whatever we buy on spot basis, that kind of offsets the inventory gain or inventory loss. So we try to keep a certain proportion of buying on a spot basis. That is how we move. Having said that, for power transformers, it is very difficult to buy on spot basis and expecting orders to come. We need to plan ahead, which is why we had more bookings in the last half year. I hope that clarifies that part.

Yashvardhan Singh: Yes. Yes. Understood, sir.

Mudit Aggarwal: And coming back to your first question. So, again, let me reiterate very clearly very, very clearly that I was misquoted in the March con call. I had clearly mentioned in that call that there is raw material price fluctuations and that could lead to reducing EBITDA margins compared to H1.

When I was asked what will be the range of EBITDA margins that we can expect, I mentioned 10% to 15% considering what we achieved in H1 and considering what we could achieve in H2. And we were at the bottom end of that range. So I believe I never misguided anyone. Going forward in that call and as well as in my previous calls, I have always guided a guidance of 12% to 13%, which we achieved on a full year basis.

On a full year basis, we were able to achieve that, again, on the lower end of that range, it was close to around 11.5% or 11.6%, but we were able to achieve that. Going forward also, we are targeting that. Let me be clear again. We are targeting that. But if the volatility continues, there could be ups and downs.

Yashvardhan Singh: Okay. So the recent policy, is that beneficial for you guys, the import duty on CRGO steel? And if we are going to anyways, consume the inventory that we have from H1, which is the higher November, December inventory. So if we are consuming it till May, Jan, so the margins for H1 is will still be the lower end of the margin profiles that we are working on, right?

Mudit Aggarwal: Again, I would not like to comment on that because again, I don't want to get misquoted on that.

Yashvardhan Singh: Okay.

Mudit Aggarwal: Your second question, are you talking about the safeguard duty?

Yashvardhan Singh: Yes.

Mudit Aggarwal: So there is no safeguard duty on CRGO.

Yashvardhan Singh: Okay. Okay. Thank you sir and all the best for the future.

Moderator: Thank you, Yash. We'll take the last question from Vidisha. Please go ahead.

Vidisha: Hello, sir. I wanted to understand, is there any effect of the ongoing U.S. China trade war on our business? And also, do we see any effect of dumping ahead? So will we be able to continue the demand for the products that we have?

Mudit Aggarwal: Are you talking about dumping with respect to the U.S., China trade war? Right?

Vidisha: Yes.

Mudit Aggarwal: So with respect to the U.S., China situation, there is already a custom duty of 30% on Chinese CRGO coming into the U.S. market or any steel for the matter of fact. So, Chinese steel was already not existing in the U.S. market. Going forward, with respect to customers buying from India, I don't believe at least for our product, we don't believe that there will be a difference because we have a couple of customers in the U.S. and we are still exporting to the U.S.

Although those are small quantities, but we are still continuing to export and the customers still have clarity that, it might not affect them too much.

Vidisha: Okay, sir. And with respect to a question already asked, so do we see any demand slowdown? Because I said because there might be a situation of oversupply ahead. So do we expect a continued demand ahead?

Mudit Aggarwal: Demand seems to be strong at the moment. We don't see any issues with the demand part, which is why we are quite confident of achieving the quantity target.

Vidisha: All right, sir. Thank you so much.

Moderator: Thank you, Vidi. That was the last question of this conference. I now hand over to Mr. Vinay.

Vinay Pandit: Yeah. Thank you. Mudit, would you like to give any closing comment before we end the call?

Mudit Aggarwal: Yeah, thank you everyone. Thank you for coming up for this call and taking our time. Back to you, Vinay.

Vinay Pandit: Thank you. That brings us to the end of today's conference call. You may all disconnect now. Thank you to all the participants and management for joining on.